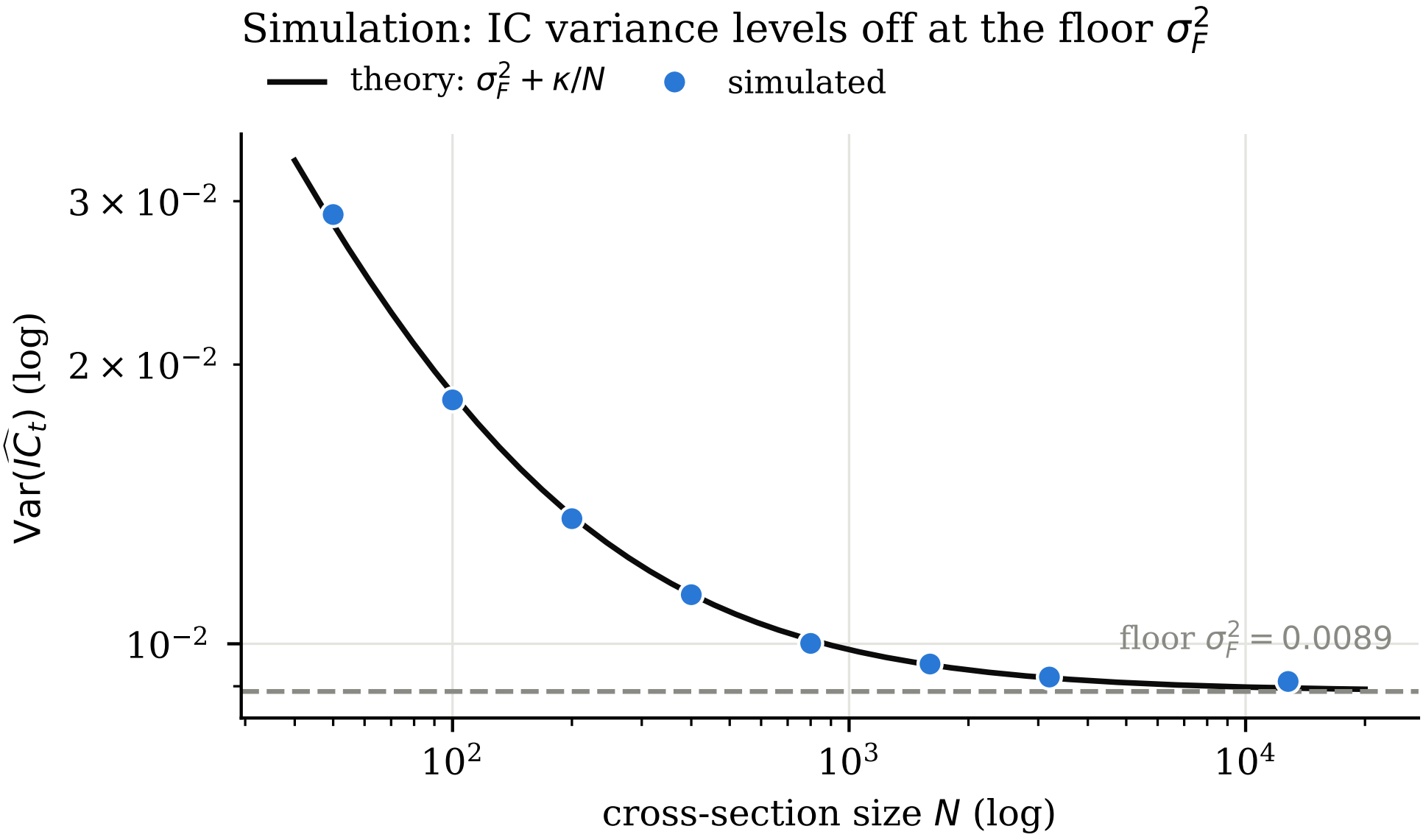
Simulation: IC variance levels off at the floor σ_F^2
theory: $\sigma_F^2 + \kappa/N$
simulated
3×10^{-2}
2×10^{-2}
10^{-2}
floor $\sigma_F^2 = 0.0089$
$\mathrm{Var}(\widehat{IC}_t)$ (log)
10^2
10^3
10^4
cross-section size N (log)